3. Akash, Mugesh and Sanjay are partners in a firm sharing profits and losses in the ratio of 3:2:1. Their balance sheet as on 31st March, 2017 is as follows:

Liabilities	₹	₹	Assets	₹
Capital accounts:			Buildings	1,10,000
Akash	40,000		Vehicle	30,000
Mugesh	60,000		Stock in trade	26,000
Sanjay	30,000	1,30,000	Debtors	25,000
Profit and loss appropriation A/c		12,000	Cash in hand	15,000
General reserve		24,000		
Workmen compensation fund		18,000		
Bills payable		22,000		
		2,06,000		2,06,000

Pass journal entry to transfer accumlatetd Profit and prepare the capital account of the partners

(Answer: Akash's capital: ₹ 67,000(Cr.); Mugesh's capital: ₹78,000 (Cr.); Sanjay's capital: ₹ 39,000 (Cr.))

Revaluation of assets and liabilities

4. Roja, Neela and Kanaga are partners sharing profits and losses in the ratio of 4:3:3. On 1st April 2017, Roja retires and on retirement, the following adjustments are agreed upon.

(i) Increase the value of building by ₹ 30,000.

(ii) Depreciate stock by ₹ 5,000 and furniture by ₹ 12,000.

(iii) Provide an outstanding liability of ₹ 1,000

Pass journal entries and prepare revaluation account.

(Answer: Revaluation profit: ₹ 12,000)

5. Vinoth, Karthi and Pranav are partners sharing profits and losses in the ratio of 2:2:1. Pranav retires from partnership on 1st April 2018. The following adjustments are to be made.

(i) Increase the value of land and building by ₹ 18,000

(ii) Reduce the value of machinery by ₹15,000

(iii) A provision would also be made for outstanding expenses for ₹ 8,000.

Give journal entries and prepare revaluation account.

(Answer: Revaluation loss: ₹ 5,000)

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